9

Annuities Are Personal Pensions

"...Annuities are bad investments because they are expensive, confusing and sold by shady insurance salesmen...."

Myth #9

Annuities are likely one of the most misunderstood and confusing investments in the financial universe. The word *annuity* itself can describe many different instruments, which can be very different from each other. Annuities have received an unbelievable amount of bad press and publicity—some of it justified, some not—yet few people realize that these products are implicitly contained within every single defined benefit (DB) pension plan as well as Social Security. They are the underlying ingredients of retirement plans around the world. Hopefully, this chapter will help clear up some of the confusion and help answer some questions, or at least give you some questions to ask your own financial advisor. But first let me start by telling you an interesting story and review some history of my limited role and involvement in the annuity industry's bad publicity.

In the mid-1990s, I conducted and subsequently published a widely cited research study, together with a risk analyst from Goldman Sachs, on the nature and magnitude of fees and expenses charged within variable annuities (VA). The basic chassis of a generic variable annuity is quite similar to a mutual fund but it is classified as an insurance product because of various explicit and implicit insurance guarantees. Hence, annuities also benefit from a more favorable tax treatment by having all investment gains within the policy sheltered from taxes until the policy is surrendered. I'll get to the details of my